

We may be on the verge of the best bond market rally since the June 1980 advance. My long term bond count, showing the orthodox low in March 1980 and an A wave top in June, last appeared in the March 6, 1981 issue. The difficulty since then has been waiting for a satisfactory B wave to finish itself on the downside so a C wave advance could begin. *As I see it, such a point may have been reached at last week's low.* A swift move back to wave 2 of the diagonal triangle [ending wave B; not shown] should be the first occurrence. Eventually, the June 1980 peak may be challenged.

So *The Elliott Wave Theorist* again called for a change in trend, this time at the bottom of a sixteen month decline, a five year decline, and a 35-year decline in bond prices, as shown in Figure 16-3. The rally carried into May 1983.

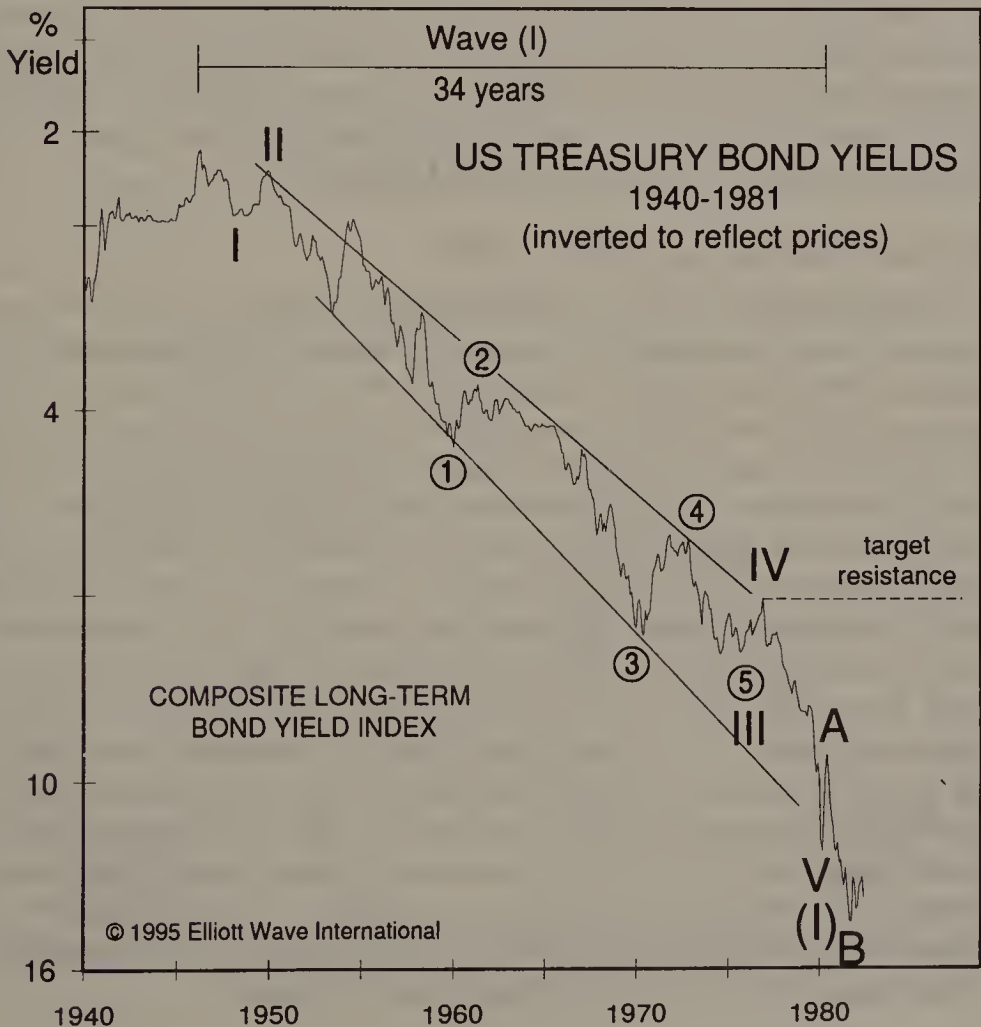


Figure 16-3